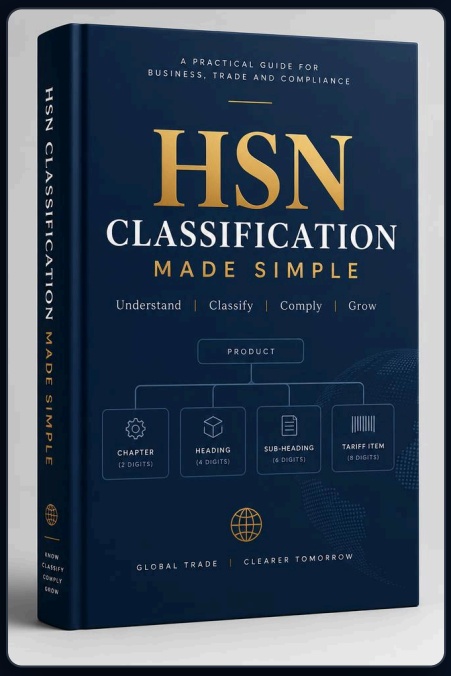
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Practical Workshop Edition • 2026



OFFICIAL EXIM HANDBOOK

HSN Classification Made Simple

Master the 8-Digit Tariff Code System and Avoid Reclassification Disputes

Mentor: Krishnakumar

30 Years Logistics, Customs & EXIM Documentation Experience

Comprehensive Edition

44 Pages • Digital PDF

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🎯 Mentor's Action Checklist & Operational Rules

- ✓ Read Section Notes and Chapter Notes before selecting any heading
- ✓ Verify if product is subject to specific Anti-Dumping or Safeguard Duty notifications
- ✓ Confirm whether item requires compulsory BIS certification based on 8-digit HSN
- ✓ Maintain technical catalogues, datasheets, and chemical analysis reports on record
- ✓ Apply GRI 3(b) only when GRI 1 and GRI 3(a) cannot resolve classification

CHAPTER 1

Anatomy of the 8-Digit Harmonized System

The Harmonized Commodity Description and Coding System (HS) is an internationally standardized system of names and numbers to classify traded products.

In India, Customs uses an 8-digit tariff code structure: - First 2 Digits (Chapter): Broad industry category (e.g., Chapter 84 for Nuclear Reactors, Boilers, Machinery and Mechanical Appliances). - Next 2 Digits (Heading): Specific product group within the chapter (e.g., 8414 for Air or Vacuum Pumps, Compressors, Fans). - Next 2 Digits (Subheading): Global 6-digit standard recognized by World Customs Organization (WCO). - Last 2 Digits (Tariff Item): India-specific national classification for duty and statistical granularity.

CHAPTER 2

General Rules for the Interpretation (GRI 1 to GRI 6)

Classification of goods in the First Schedule to the Customs Tariff Act 1975 is governed strictly by the General Rules for Interpretation (GRI).

GRI Rule Summary: - GRI 1: Classification is determined primarily by the terms of the Headings and any relative Section or Chapter Notes. If a heading clearly describes the item, GRI 1 settles the classification legally without consulting subsequent rules. - GRI 2(a): Covers incomplete or unfinished articles having the essential character of the complete article, as well as unassembled/CKD kits. - GRI 2(b): Covers mixtures and combinations of materials. - GRI 3: Applied when goods are prima facie classifiable under two or more headings: * 3(a): Most specific description takes precedence over general description. * 3(b): Essential character rule for composite goods, mixtures, and retail sets. * 3(c): When 3(a) and 3(b) fail, classify under the heading that occurs last in numerical order.

CHAPTER 3

Essential Character Rule in Practice (Rule 3b)

Composite goods consisting of different materials or made up of different components, and goods put up in sets for retail sale, which cannot be classified by reference to GRI 3(a), are classified as if they consisted of the material or component that gives them their essential character.

Determining Essential Character: - Functional utility: Which component performs the primary role intended by the consumer? - Bulk, volume, and weight: What dominates the physical composition? - Economic value: Which component represents the principal cost of production? Case Study: A mobile phone packaged with a charging cable, earphones, and adapter is classified under 8517 (smartphones), as the handset imparts the overwhelming essential character of the retail set.

CHAPTER 4

Advance Rulings & Classification Disputes

When classification of a new or technologically complex product is ambiguous, importers can eliminate risk by applying to the Customs Authority for Advance Rulings (CAAR).

Filing for CAAR: - File Form CAAR-1 with a fee of ₹10,000 before the shipment is imported. - The ruling is legally binding on all Customs jurisdictions across India for the applicant and the concerned Commissioner of Customs for up to 3 years. - Prevents post-clearance audits from demanding differential duty, interest under Section 28AA, or penalties.